

Income Statement

A statement is like a report card for a company over a specific period. It provides details about how much money the company earned (revenue), how much it spent (expenses), and the profit and loss it made during a specific period.

STATEMENT OF INCOME		
Year Ended December 31, 2100		
Revenues	₹	1,000,000
Cost of goods sold		200,000
Gross profit		800,000
Operating expenses		
Selling, general, and administrative expense		357,700
Interest expense		20,000
Depreciation and amortization expense		5,200
Operating income		417,100
Interest income		20,000
Net earnings before taxes		437,100
Income tax expense		240,000
Net income	₹	197,100

Revenue is all about the total income generated from selling goods or services. While expenses include all the costs such as salaries, rent, materials, etc. **A net profit or loss is calculated by subtracting the total expenses from the total revenue.**

Hence, the income statement provides valuable insights into the revenue, expenses, and profit of the company.

